

M/S Malhotra Ice Factory v. Pashchimanchal Vidyut Vitran Nigam Ltd. & Another

High Court of Judicature at Allahabad · Division Bench · 23 October 2018 (final judgment; earlier interim orders 15.5.2013–29.5.2013, and interim order of 1.5.2017 in the connected petition) · Writ-C No. 27352 of 2013 (with connected Writ-C No. 18411 of 2017) · **Both connected writ petitions disposed of. Holding the controversy to be essentially a billing dispute for the Executive Engineer under Clause 6.5 of the U.P. Electricity Supply Code, 2005, the Division Bench declined to adjudicate the bills itself and relegated the entire matter to the Executive Engineer, Electricity Urban Distribution Division-V, NOIDA, directing him to pass a final, reasoned order within two months of production of a certified copy, considering the petitioner's objections and the Court's directions issued from time to time. Amounts already deposited by the petitioner are to be taken into account, and re-connection is made subject to the outcome of that order.**

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HEADNOTE

A protracted electricity billing dispute of an ice factory, spanning multiple rounds of litigation, disposed of by relegation to the statutory billing authority. The petitioner disputed the correctness of successive bills and sought reconnection of a supply disconnected for alleged non-payment of dues; the demand traced back to an assessment order of 19.9.2006 that had already passed through several writ petitions — including one allowed by a Division Bench on 9.11.2009 (quashing the assessment and directing that amounts deposited be first adjusted) and one disposed on 16.9.2010 (directing the Executive Engineer to decide the consumer's representation and, till then, not to press arrears while current bills were paid). A revised bill of 27.4.2013 and a further revised demand of 29.3.2017 (a bill of Rs.70,97,590 reduced to Rs.52,62,636 on representation) were challenged in the two connected petitions, with interim orders protecting the consumer on part deposits and restoring supply. Holding that 'the aforesaid dispute is essentially a billing dispute and the authority competent to decide the same is the Executive Engineer in terms of Clause 6.5 of U.P. Electricity Supply Code, 2005', the Division Bench disposed of both petitions by directing the Executive Engineer to pass a single final, reasoned order within two months, taking into account all amounts already deposited and the Court's directions issued from time to time, with re-connection made subject to the outcome of that order. The petitioner's contention that disconnection without a mandatory bill offended Section 6(1)(e) & (g) of the Code read with Section 56 of the Electricity Act, 2003 was left for the Executive Engineer, and the merits/quantum of the demand were not decided.

FACTUAL SUMMARY

The petitioner, M/S Malhotra Ice Factory (in the connected 2017 petition, Malhotra Ice Factory through its proprietor), is an electricity consumer of the respondent Pashchimanchal Vidyut Vitran Nigam Ltd. in the NOIDA / Gautam Budh Nagar urban distribution area. The dispute originated in an assessment order dated 19.9.2006. The petitioner challenged it in Writ Petition No.59016 of 2006, disposed of on 11.1.2007 with liberty to file an objection before the Executive Engineer, on deposit of Rs.1,00,000 and restoration of the connection within 24 hours, subject to payment of regular bills. The consequential fresh assessment was challenged in Writ Petition No.8029 of 2007, which a Division Bench allowed on 9.11.2009, quashing the assessment and remitting the matter (following *Ashok Kumar v. State of U.P.*, 2008 (6) ADJ 660 (DB) on the assessment procedure, and *Smt. Amrawati Devi v. Purvanchal Vidyut Vitran Nigam Ltd.* on meter-testing procedure), with the amount already deposited (stated to be over Rs.9,00,000) to be first adjusted. When the department again sought to realise the amount without making the adjustment, the petitioner filed Writ Petition No.56721 of 2010, disposed of on 16.9.2010 with a direction to the Executive Engineer to decide the petitioner's comprehensive representation and, till then, not to press arrears while the petitioner paid the current bill. The Executive Engineer thereafter issued a revised bill on 27.4.2013, challenged in Writ Petition No.27352 of 2013, in which the Division Bench passed interim orders on 15.5.2013 (deposit of Rs.3,00,000, with no further recovery meanwhile), 27.5.2013 and 29.5.2013. A further revised demand bill dated 29.3.2017 and notice dated 21.3.2017 — a bill of Rs.70,97,590 dated 4.3.2017 reduced to Rs.52,62,636 on representation — were challenged in the connected Writ Petition No.18411 of 2017, in which an interim order dated 1.5.2017 called for a counter affidavit and restored supply on deposit of Rs.7.5 lakhs. The petitioner complained that the successive judgments had not been complied with in letter and spirit, that the Executive Engineer had passed no final speaking order on the objections, and that supply had been disconnected without the bill mandatory under Section 6(1)(e) & (g) of the Code read with Section 56 of the Electricity Act, 2003. Both petitions were heard together and disposed of by the Division Bench on 23.10.2018.

REUSABLE CONSTRUCTIONS

1. A dispute over the correctness of an electricity bill is essentially a billing dispute, and the authority competent to decide it is the Executive Engineer under Clause 6.5 of the U.P. Electricity Supply Code, 2005; the writ court will ordinarily relegate the consumer to that forum rather than adjudicate the quantum of the bill itself.
order of 23.10.2018
2. Where a billing dispute has spawned a succession of writ petitions and interim orders, the High Court may dispose of the petitions by directing the Executive Engineer to pass a single final, reasoned (speaking) order within a fixed time, taking into account all amounts already deposited and the directions issued by the Court from time to time.
order of 23.10.2018
3. On such relegation, amounts deposited by the consumer during the pendency of the dispute (including under interim orders) must be taken into account by the Executive Engineer while passing the final order, and re-connection is made subject to the outcome of that order. order of 23.10.2018

HOLDING-UNITS

HOLDING-UNIT · UP-2005::6.5

RATIO

A dispute over the correctness of electricity bills is a billing dispute for the Executive Engineer under Clause 6.5; the writ court relegates it there rather than adjudicating the bill

QUESTION

Where a consumer disputes the correctness of electricity bills and seeks reconnection of a disconnected supply, must the controversy be relegated to a statutory authority rather than decided by the writ court — and if so, to which authority and on what terms?

HOLDING

It is essentially a billing dispute and the authority competent to decide it is the Executive Engineer under Clause 6.5 of the U.P. Electricity Supply Code, 2005. Rather than adjudicate the correctness of the bills itself, the Division Bench disposed of both connected petitions by relegating the entire controversy to the Executive Engineer, Electricity Urban Distribution Division-V, NOIDA, with a direction to pass a final, reasoned order within two months of production of a certified copy, considering the petitioner's objections and the directions issued by the Court from time to time. The amounts already deposited by the petitioner must be taken into account while passing that order, and the issue of re-connection is made subject to its outcome. order of 23.10.2018

EVIDENCE “The aforesaid dispute is essentially a billing dispute and the authority competent to decide the same is the Executive Engineer in terms of Clause 6.5 of U.P. Electricity Supply Code, 2005.” order of 23.10.2018

EVIDENCE “We, therefore, dispose of both the writ petitions with a direction to the Executive Engineer, Electricity Urban Distribution Division-V NOIDA, Gautam Budh Nagar to pass a final order after considering the objections as well as the directions issued by this Court from time to time within a period of two months from the date of production of the certified copy of the order before him.” order of 23.10.2018

EVIDENCE “The amount deposited by the petitioner shall be taken into account while passing the final order. The issue of re-connection shall be subject to the outcome of any such order being passed by the Executive Engineer as directed hereinabove.” order of 23.10.2018

FLAG Order-sheet compilation with no printed page numbers or numbered paragraphs (pin_basis=date); pins are order dates. The operative disposition is the final Division Bench judgment of 23.10.2018; the 2013 orders and the 1.5.2017 order in the connected petition are interim.

PRINCIPLE TAGS

relegate-to-statutory-remedy The Division Bench characterised the controversy as essentially a billing dispute and relegated both petitions to the Executive Engineer under Clause 6.5 of the U.P. Electricity Supply Code, 2005 for a final speaking order, without adjudicating the correctness of the bills. order of 23.10.2018

alternative-remedy-relegation Despite a long history of writ petitions over the same demand, the recurring billing dispute was relegated to the statutory forum (the Executive Engineer) rather than decided on merits by the writ court.
order of 23.10.2018

15.5.2013 required a deposit of Rs.3,00,000 with no further recovery meanwhile, and the connected petition's interim order of 1.5.2017 restored supply on deposit of Rs.7.5 lakhs. [orders of 15.5.2013 & 1.5.2017](#)

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — WHETHER DISCONNECTING THE SUPPLY WITHOUT ISSUING THE BILL SAID TO BE MANDATORY UNDER SECTION 6(1)(E) & (G) OF THE U.P. ELECTRICITY SUPPLY CODE, 2005 READ WITH SECTION 56 OF THE ELECTRICITY ACT, 2003 WAS ILLEGAL

Raised by the petitioner and recorded in the interim order of 1.5.2017 in the connected petition; the Court did not decide it, leaving the whole billing controversy to the Executive Engineer. [order of 1.5.2017](#)

NOT DECIDED — THE CORRECTNESS AND QUANTUM OF THE IMPUGNED BILLS (THE REVISED BILL OF 27.4.2013 AND THE REVISED DEMAND OF 29.3.2017, REDUCED FROM RS.70,97,590 TO RS.52,62,636) AND THE ADJUSTMENT OF AMOUNTS ALREADY DEPOSITED

Not adjudicated on merits; expressly left to the Executive Engineer, who must take the deposits into account while passing the final order. [order of 23.10.2018](#)

RELATED CASES — SEE ALSO

SCJ-046 — Billing grievance relegated to the Clause 6.5 representation, the claim not adjudicated on merits — directly parallel to this disposition.

SCJ-013 — Writ relegated to the Clause 6.5 remedy with interim protection on deposit, mirroring the deposit-conditioned interim orders here.

SCJ-1021 — Consumer relegated to a Clause 6.5 billing complaint; same competent-authority holding.

SCJ-283 — Section 56 of the Electricity Act, 2003: recovery of a disputed/mistaken bill lies by civil suit, not disconnection — bears on the disconnection-without-proper-bill point the petitioner raised here (left to the Executive Engineer).

SCJ-2211 — Recent matter where the consumer's objection to the demand was kept pending for decision under Clause 6.5 — the same billing forum.

TABLE OF AUTHORITIES

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
<i>Ashok Kumar and others v. State of U.P. and others</i> 2008 (6) ADJ 660 (DB) High Court of Judicature at Allahabad	The controversy regarding the assessment stood concluded by this Division Bench decision; on its authority the impugned assessment was quashed and the matter remitted to the assessing authority to proceed afresh in accordance with its observations.	Relied on order of 9.11.2009 (WP 8029/2007, extracted in the judgment)	Petitioner	Relied on
<i>Smt. Amrawati Devi v. Purvanchal Vidyut Vitran Nigam Limited and another</i> Civil Misc. Writ Petition No.1545 of 2009, decided 15.1.2009 High Court of	On meter testing: after sealing the meter the Nigam must serve a notice intimating the consumer to exercise his option to get the meter tested by the Electrical Inspector or by an approved outside agency, and once the	Relied on order of 9.11.2009 (WP 8029/2007, extracted in the judgment)	Court	Relied on

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
Judicature at Allahabad	option is exercised a date must be fixed for testing in the consumer's presence.			

SCJ-2213 · M/S Malhotra Ice Factory v. Pashchimanchal Vidyut Vitran Nigam Ltd. & Another · · Supply Code Jurisprudence

A jurisprudence extract prepared from the text of the judgment; not a substitute for the judgment, and to be verified against the original before use.